

**HARAMAYA UNIVERSITY**  
**COLLEGE OF BUSINESS AND ECONOMICS**  
**DEPARTMENT OF ECONOMIC**  
**MOCK EXAMINATION**

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**Choose the best answer from the given alternatives**

1. One of the following is **false** about Stage II of production
- A. It is the stage of diminishing returns because TP increase at decreasing rate.
  - B.  $MP_L$  is greater than  $AP_L$ .
  - C. Both  $MP_L$  &  $AP_L$  are diminishing but positive.
  - D.  $MP_L$  decline at slower rate than  $AP_L$ .

ANSWER: B

2. \_\_\_\_\_ Is a weighted average of the payoffs or values resulting from all possible outcomes of uncertain situation?
- A. Expected value
  - B. Variability
  - C. Expected utility
  - D. Risk aversion
  - E. Risk spreading

ANSWER: A

3. If the capital-labor ratio changes from 4 units to 8 units, and marginal rate technical substitution changes from 1 unit to 2 units, then degree of factor substitutability of the two inputs are
- A. Perfect complement inputs
  - B. Imperfect substitute inputs
  - C. Perfect substitute inputs
  - D. Imperfect complement inputs

ANSWER: B

4. Assume first year economics student has **80 percent** probability to be succeeded in calculus and **20 percent** probability to be failed. Success yields a payoff of **4 point**; and failure yields a payoff of **2 point**. Then the expected point the student will get in calculus is
- A. 4 point
  - B. 2.6point
  - C. 3 points

D. 3.6 point

ANSWER: D

5. Which of the following is **false**?

- A. ATC usually above the AVC
- B. With the increasing output, ATC & AVC are getting closer.
- C. TC change only due to the change in TVC
- D. AFC forming a rectangular hyperbola

ANSWER: D

6. The value of resources that belong to the owner of the firm that are employed in the production but they are not included in the cash flow of the company are:

- A. Private cost
- B. Accounting cost
- C. Implicit cost
- D. Social cost

ANSWER: C

7. Assume a profit-maximizing firm in perfect competition industries producing soft.

The firm sells its soft at the prevailing market price, why? Due to the assumption of

- A. Large number of sellers and buyers, and producing same product
- B. Costless information and no government regulation
- C. Free entry and exit of firms
- D. Perfect mobility of factors of production

ANSWER: A

8. Price discrimination will always lead to

- A. Increase in output
- B. No change in output
- C. Decrease in output
- D. Increase in TR

ANSWER: D

9. Which of the following statements is not true? A discriminating monopolist

- A. Operates in more than one market
- B. Charges same prices in different markets
- C. Makes more profit because he discriminates
- D. Maximizes his profits in each market

ANSWER: B

10. In a perfectly competitive market, which one of the following is true when the prevailing price is at the minimum point of the average variable cost in the short- run?

- A. It is more economical to exit out of the market
- B. The firm can cover some portions of its total fixed cost
- C. The firm can cover all of its total variable cost
- D. The firm loses is equal to the total fixed cost
- E. It is a break-even point of production

ANSWER: B

11. For the demand schedule  $q = 80 - 2p$  find the value of MR when  $q = 15$ .

- A. 20
- B. 25
- C. 30
- D. 35

ANSWER: B

12. When will average variable cost be at its minimum value for the TC function  $TC = 40 + 82q - 6q^2 + 0.2q^3$ ?

- A.  $Q=10$
- B.  $Q=5$
- C.  $Q=15$
- D.  $Q=50$

ANSWER: C

13. What is point elasticity when price is 12 for the demand function  $p = 60 - 3q$ ?

- A. 2.25
- B. 0.25
- C. -2.25
- D. -.025

ANSWER: B

*Instruction:* Answer the following two questions (4-5). In a Keynesian macroeconomic system, the following relationships and values hold:  $Y = C + I + G + X - M$ ;  $C = 0.8Y_d$ ,  $M = 0.2Y_d$ ,  $Y_d = (1 - t)Y$ ,  $t = 0.2$ ,  $G = 400$ ,  $I = 300$ ,  $X = 288$

14. What is the equilibrium national income of the economy?

- A. 1900
- B. 988
- C. 1200

D. 2500

ANSWER: A

15. If the government increases its expenditure to 600, by how much does the national income changed?

A. 1152

B. 768

C. 1240

D. 384

ANSWER: D

16. A firm faces the production function  $Q = 120L + 200K - L^2 - 2K^2$  for positive values of  $Q$ . It can buy  $L$  at Birr 5 a unit and  $K$  at Birr 8 a unit and has a budget of Birr 70. What is the maximum output it can produce?

A.  $L = 5.79$ ,  $K = 4.79$

B.  $L = 4.74$ ,  $K = 5.79$

C.  $L = 4.74$ ,  $K = 4.74$

D.  $L = 5.79$ ,  $L = 5.59$

ANSWER: B

17. For a given utility function;  $U(x_1, x_2) = x_1^2 + x_2^2$  subject to income constraint;  $x_1 + 4x_2 = 2$ . Then when the income constraint changes by a unit by how much does the utility function is changed.

A.  $4/17$

B.  $2/17$

C.  $8/17$

D.  $10/17$

ANSWER: A

18. The particular integral of the differential equation  $y(t)'' - 5 + y''(t) + y(t) = 2$  is

A.  $\frac{1}{2}$

B.  $4t$

C.  $8t^2$

D. 0

ANSWER: A

19. Given  $y(0) = 10$  and  $y(1) = 36$ , the definite solution for  $y_t - 10y_{t-1} + 16y_{t-2} = 14$

- A.  $y(t) = 5(2)^t + 3(8)^t + 2$
- B.  $y(t) = 5(4)^t + 3(3)^t + 5$
- C.  $y(t) = 15(2)^t + 3(8)^t + 12$
- D.  $y(t) = (2)^t + (8)^t + 2$

ANSWER: A

20. Find the solution for the exact differential equation given by  $3y^2tdy + (y^3 + 2t)dt = 0$

- A.  $y^2t + t^3 = c$
- B.  $y^3t + t^2 = c$
- C.  $y^3t - t^2 = c$
- D. No Solution

ANSWER: B

21. An expression coined by economists to describe an economy that is growing at such a slow pace that more jobs are being lost than are being added is known as:

- A. Growth Recession
- B. Stagflation
- C. Recession
- D. Ritchet Inflation

ANSWER: A

22. Most of the underdeveloped economies suffer from what, which does not let the growth rate go up from a lower level?

- A. High level of technological unemployment
- B. High infant mortality
- C. High monetary mismanagement
- D. High population pressures

ANSWER: D

23. "Underdeveloped countries are the slums of the World Economy." This statement is by:

- A. A.N. Caimcross
- B. Jagdish Bhagwati
- C. Ragnar Nurkse
- D. Colin Clark

ANSWER: A

24. By what means can the growth rate of an economy be speeded up?

- A. Investment in human capital formation
- B. Investment abroad
- C. Investment in the share market
- D. Investment in the primary sector

ANSWER: A

25. A high average level of real income per head is always associated with a high proportion of the working population engaged in what sector?

- A. Primary
- B. Secondary
- C. Tertiary
- D. Quaternary

ANSWER: C

26. Underdevelopment is defined in terms of?

- A. National income
- B. Per capita income
- C. Poverty ratio
- D. Rate of unemployment

ANSWER: B

27. Which of the following is generally regarded as the true index of economic growth?

- A. An increase in national income at constant prices during a year
- B. A sustained increase in real per capita income
- C. An increase in national income at current prices over time
- D. An increase in national income along with a corresponding increase in population

ANSWER: A

28. The concept of economic growth is:

- A. Identical with the concept of economic development
- B. Narrower than the concept of economic development
- C. Wider as compared to that of economic development
- D. Unrelated to the concept of economic development

ANSWER: B

29. Which of the following is not an indicator of economically underdeveloped countries?

- A. Low per capita income
- B. High death-rate
- C. Low proportion of labour force in the primary sector
- D. High level of illiteracy

ANSWER: C

30. Economic growth can be seen by an outward shift of:

- A. The Production Possibility Frontier
- B. The Indifference Curve
- C. The Demand Curve
- D. The Supply Curve

ANSWER: A

31. If the coefficients of the reduced form are greater than the coefficients of the structural equations, then we can say that

- A. the equation is under-identified
- B. the equation is over-identified
- C. the equation is exactly identified
- D. the equation is not identified.

ANSWER: B

32. If the simultaneous equation is exactly identified, the appropriate method for estimation is

- A. Two stages least squares
- B. Maximum Likely methods
- C. Indirect least square
- D. OLS

ANSWER: C

33. Why is the number of dummy variables to be entered into the regression model always equal to the number of groups (k) minus 1 (k-1)?

- A. To avoid the problem of serial correlation
- B. To increase the R-squared value
- C. To avoid the situation of perfect multicollinearity
- D. To control for other variables in the model

ANSWER: C

34. A data set that consists of a sample of individuals, households, firms, cities, states, countries, or a variety of other units, taken at a given point in time, is called.

- A. cross-sectional data set
- B. longitudinal data set
- C. time series data set
- D. experimental data set

ANSWER: A

35. What is the meaning of the term "heteroscedasticity"?

- A. The variance of the errors is not constant
- B. The variance of the dependent variable is not constant
- C. The errors are not linearly independent of one another
- D. The errors have non-zero mean

ANSWER: A

36. Which one of the following assumptions cannot be violated by simple linear regression?

- A. the assumption of homoscedasticity
- B. the assumption of no multicollinearity
- C. the assumption of no autocorrelation
- D. assumption of constant variance

ANSWER: B

the dependent variable Y and an independent variable is denoted by X.

$$\sum XY = 45,975 \qquad \sum X^2 = 64,150$$

$$\sum xy = 1340 \qquad \sum x^2 = 1740$$

$$\sum y^2 = 1552.5 \qquad n = 10$$

$$\bar{X} = 79 \qquad \bar{Y} = 56.5$$

Based on the above data give the best answer for the following questions (37-41).

37. The least squares estimate of  $\beta$  equals

- A. 0.75
- B. 0.77
- C. 0.72
- D. -0.25

ANSWER: B

38. The least squares estimate of  $\alpha$  equals

- A. -4.33
- B. 3.44
- C. 4.33
- D. 4.44

ANSWER: A

39. The residual sum of squares (RSS) equals

- A. 031.95
- B. 505.98
- C. 520.7
- D. 928.02

ANSWER: C

40. The coefficient of determination ( $R^2$ ) equals

- A. 0.35
- B. -0.64
- C. 0.66
- D. 0.95

ANSWER: C

41. The standard error of the coefficient SE ( $\beta$ ) equals

- E. 0.19
- F. 1.93
- G. 15.48
- H. -15.48

ANSWER: A

42. A primary motivation for international trade stems from:

- A. All nations preferring to produce the same goods.
- B. Unequal distribution of resources across trading nations.
- C. Sole focus on accumulating profits from trade.
- D. Identical interest rates in all trading countries.

ANSWER: B

43. The concept of comparative advantage suggests that gains from trade can be achieved even when one country has:

- A. A complete monopoly on all goods
- B. An absolute advantage in no goods
- C. A fixed exchange rate with another country
- D. A floating exchange rate with other country

ANSWER: B

44. The Heckscher-Ohlin trade model posits that:

- A. Absolute advantage dictates the distribution of trade gains.
- B. Comparative advantage dictates the distribution of trade gains.
- C. Market size limits the division of labor.
- D. A country exports goods aligned with its resource endowments.

ANSWER: D

45. Developing countries have NOT employed the following strategy to address unstable export markets:

- A. Multilateral contracts for trade agreements.
- B. Production and export controls to manage supply.
- C. Buffer stock arrangements to stabilize prices.
- D. Tariff-rate quotas (combining tariffs with quotas).

ANSWER: D

46. A nation aiming to reduce its current account deficit should:

- A. Increase government spending.
- B. Decrease government taxes.
- C. Increase private investment spending.
- D. Decrease domestic consumption spending.

ANSWER: D

47. A group of countries with common external tariffs, zero internal tariffs, and free movement of labor and capital has formed a:

- A. Free trade area.
- B. Customs union.
- C. Common market.
- D. Economic union.

ANSWER: C

48. Sporadic dumping, a form of international price discrimination, is often associated with:

- A. Predatory behavior to eliminate competitors.
- B. Economic recession and excess inventory in the exporting nation.
- C. Persistent, long-term price discrimination.
- D. Price manipulation at the end of a fiscal year.

ANSWER: B

49. The purchasing-power-parity theory has limitations in predicting exchange rate fluctuations EXCEPT for:

- A. Inflation impacting exchange rates.
- B. International capital flows affecting exchange rates.
- C. Government trade restrictions like tariffs and quotas.
- D. Not all products being internationally traded.

ANSWER: A

50. New Trade Theories primarily focus on explaining trade patterns through:

- A. Traditional comparative advantage based on factor endowments.
- B. Imperfect competition, economies of scale, and product differentiation.
- C. Government intervention and protectionist policies.
- D. The balance of payments and exchange rate fluctuations.

ANSWER: B

51. A prohibitive tariff on imports has the following effects:

- A. Revenue and redistribution effects only.
- B. Revenue and protection effects only.
- C. Consumption and protection effects.
- D. Redistribution and consumption effects only.

ANSWER: C

52. The concept of limited division of labor by market size best aligns with the trade theory of:

- A. Factor endowment theory.
- B. Product life cycle theory.
- C. Economies of scale theory.
- D. Overlapping demand theory.

ANSWER: C

53. The General Agreement on Tariffs and Trade (GATT) was a multilateral agreement that aimed to:

- A. Promote government intervention in international trade

- B. Reduce or eliminate trade barriers between member countries
- C. Establish quotas for specific categories of imported goods
- D. Impose tariffs on specific goods deemed harmful to domestic industries

ANSWER: B

54. The current international monetary system is characterized by:

- A. Fixed exchange rates with limited government intervention
- B. Floating exchange rates with greater flexibility determined by market forces
- C. A return to the gold standard, where currencies are directly linked to the value of gold
- D. Direct government control of all international transactions

ANSWER: B

55. If the National Bank of Ethiopia Created (Monetary Base) ETB 707 billion through open market operation and it was assessed that currency deposit ratio is 50% and lately NBE declared that required reserve ratio is 10%, What is the level of money supplied the economy?

- A. 1414.50 billion
- B. 1767.50 billion
- C. 707 billion
- D. 7070 billion

ANSWER: B

56. The immediate exchangeability of money is referred to as;

- A. Portability
- B. Liquidity
- C. Valuability
- D. Availability

ANSWER: B

57. All of the following defines demand for money except one?

- A. It refers to the amount of asset that people prefer to hold in the form of money
- B. It refers to the liquidity preference
- C. The total money the economy needs to run at optimal liquidity
- D. It refers to cash or bank deposit rather than investment

ANSWER: C

58. Assets which yield a perpetual income stream of constant real amount is known as;

- A. Bonds

- B. Equities
- C. Money
- D. Human wealth

ANSWER: B

59. Which one of the following functions of money doesn't cause demand for money.

- A. Medium of exchange
- B. Store of Value
- C. Unit of account
- D. Standard of deferred payment

ANSWER: C

60. A special study conducted to further understand specific aspect of a project is

- A. Preliminary study
- B. Feasibility study
- C. Support studies
- D. Appraisal study

ANSWER: C

61. Which one is in different category of cost?

- A. Initial fixed investment
- B. Operating cost
- C. Replacement cost
- D. Preliminary cost

ANSWER: B

62. Suppose a project's initial cost is Br. 65, 000 and expected to provide net benefit of Br 15,000 for ten years, calculate the payback period for the project.

- A. 5
- B. 8
- C. 6.5
- D. 4.3

ANSWER: D

63. The price that is used to measure the value a project in economic analysis is called

- A. Constant price
- B. Accounting price

- C. Efficiency price
- D. Implicit price

ANSWER: C

64. \_\_\_\_\_ is a kind of M&E when it is conducted by a team responsible for its implementation.
- A. Internal Project M&E
  - B. external Project M&E
  - C. output Project M&E
  - D. input Project M&E

ANSWER: A

65. A kind of impact evaluation method that identifies outcome difference between control and treatment groups by assigning initiatives randomly.
- A. Matching methods, specifically propensity score matching (PSM)
  - B. Regression discontinuity design
  - C. Randomized evaluations
  - D. Double-difference (DD) methods

ANSWER: C

66. Which of the following is not a component of GDP?
- A. Consumption
  - B. Investment
  - C. Export
  - D. None of the above

ANSWER: D

67. Which of the following statements is true according to the accelerator investment theory?
- A. Investment is positively related to the rate of change of output or demand
  - B. Investment is negatively related to the availability of internal funds
  - C. Investment is independent of the real interest rate
  - D. The marginal productivity of capital determines investment.

ANSWER: A

68. Which of the following statements is true according to the random walk model of consumption?
- A. Consumption depends on the current income of the household plus a random error term

- B. Consumption depends on the expected long-term income of the household plus a random error term.
- C. Consumption depends on the transitory income of the household plus a random error term.
- D. Consumption depends on the permanent income of the household plus a random error term.

ANSWER: A

69. If the saving function for a county is  $S = -10000 + 0.8Y$ , what is the MPC

- A. 0.8
- B. 0.2
- C. -0.2
- D. -0.8

ANSWER: B

Given the following information:  $C = 200 + 0.02Y_d$ ;  $G = 500$ ;  $I = 400$ ;  $NX = 200$

$Y_d = 0.25GDP$

Where  $NX$  is net export and  $Y_d$  is personal disposable income

Answer questions number 70 - 72.

70. What is the personal disposable income?

- A. 260.30
- B. 326.63
- C. 178.85
- D. None of the above

ANSWER: B

71. What percent is the consumption expenditure to the total GDP?

- A. 25.55%
- B. 15.87%
- C. 33.25%
- D. None of the above

ANSWER: B

72. What is the government expenditure multiplier?

- A. 0.99
- B. 0.75
- C. 0.35
- D. None of the above

ANSWER: A

73. Which of the following increases aggregate demand?

- A. a decrease in the money supply
- B. a decrease in tax rates
- C. a decrease in foreign income
- D. a decrease in government spending

ANSWER: B

74. If the consumption function is  $C = 20 + 0.2Y_d$  and autonomous investment is 800, what is the effect of a decrease in autonomous tax from 120 to 100 on national income?

- A. Up by 80ETB
- B. Down by 80ETB
- C. up by 50ETB
- D. Not given

ANSWER: A

75. Michael used to work as an autoworker, and due to the decline of the U.S. auto industry, is now unemployed and thinking about retraining as a bicycle assembler. What type of unemployment is he experiencing?

- A. frictional unemployment
- B. structural unemployment
- C. cyclical unemployment
- D. seasonal unemployment

ANSWER: C

76. According to the endogenous growth model, economic growth is based on (determined by)

- A. income and saving
- B. Human capital
- C. Productive capacity
- D. Physical capital

ANSWER: B

77. A decrease in the money supply is most likely to

- A. raise interest rates and investment, and lower aggregate expenditure
- B. lower interest rates, investment, and aggregate expenditure
- C. raise interest rates, lower investment, and lower aggregate expenditure

D. raise interest rates, investment, and aggregate expenditure

ANSWER: C

78. Although, forward-looking consumption theorists have argued people save to smooth future consumption, however, ----- research output shows people don't save as much as a perfectly rational lifetime utility maximizer would save.

- A. Irving Fisher
- B. Milton Friedman
- C. David Laibson
- D. Robert Hall

ANSWER: C

79. The Purchase and sale of gov't bonds by central bank as a monetary policy tool is known as \_\_\_\_

- A. Reserve requirement
- B. Discount rate
- C. Open market operation
- D. Debt financing

ANSWER: C

80. The World Trade Organization (WTO) succeeded the GATT and is responsible for:

- A. Setting global monetary policy
- B. Negotiating trade agreements between individual countries
- C. Overseeing and enforcing international trade rules
- D. Providing financial assistance to developing countries

ANSWER: C

81. The current account of the BOP (Balance of Payments) meticulously tracks the flow of:

- A. Foreign direct investment
- B. Changes in government debt
- C. Net international transfers (aid, remittances) only
- D. The value of a country's exports and imports of goods and services

ANSWER: D

82. Protectionism refers to government policies that aim to:

- A. Increase free trade and competition
- B. Limit imports and protect domestic industries from foreign competition
- C. Promote international cooperation

D. Reduce the role of government in the economy

ANSWER: B

83. Strategic trade policy suggests that governments can:

- A. Encourage international dumping.
- B. Impose countervailing duties to address dumping.
- C. Assist domestic companies in capturing economic profits from foreign competitors.
- D. Solely focus on export promotion policies.

ANSWER: C

84. When international terms of trade settle between each country's opportunity cost:

- A. Neither nation benefits from trade.
- B. Both countries experience gains from trade.
- C. Only one nation benefits from trade.
- D. One nation gain, while the other loses from trade.

ANSWER: B

85. If the coefficients of the reduced form are greater than the coefficients of the structural equations, then we can say that

- A. the equation is under-identified
- B. the equation is over-identified
- C. the equation is exactly identified
- D. the equation is inexactly identified

ANSWER: B

86. Which one of the following is not among the benefits of panel data?

- A. More informative
- B. More variability
- C. more collinearity among the variables
- D. More efficiency

ANSWER: C

87. A single bank, acting independently of other banks, can afford to lend

- A. the full value of its deposits;
- B. multiple of its deposits;
- C. all of its reserves;
- D. twice its capital;

E. its excess reserves.

ANSWER: E

88. Suppose the US has a comparative advantage in the production of computers with respect to Canada. As a result of free international trade, the US exports computers to Canada. What is the most likely outcome?

- A. US consumers of computers are better off.
- B. Everyone in both countries is better off.
- C. Canadian consumers of computers are worse off.
- D. Producer surplus in the US increases, and consumer surplus in the US decreases.

ANSWER: D

89. The trade theory that states that nations should accumulate financial wealth, usually in the form of gold, by encouraging exports and discouraging imports is called

- A. physiocratic
- B. factor Endowment
- C. absolute Advantage
- D. mercantilism.

ANSWER: D

90. Money overcomes the problem of a double coincidence of wants inherent in the barter system through its function as a:

- A. medium of exchange.
- B. unit of account.
- C. standard of deferred payment.
- D. store of value.
- E. financial intermediary.

ANSWER: A

91. As opposed to the Ricardian model of comparative advantage, the assumption of diminishing returns in the Heckscher-Ohlin model means that the probability is greater that with trade

- A. Countries will not be fully specialized in one product
- B. Countries will benefit from free international trade.
- C. Countries will consume outside their production possibility frontier.
- D. Comparative advantage is primarily supply related.

ANSWER: A

Assume that the world economy consists of two countries, Switzerland and Turkey. The countries produce cotton and wine. Labour is the only factor of production. Per hour of labour, the countries produce the following quantities:

|                | Switzerland | Turkey |
|----------------|-------------|--------|
| Cotton (bales) | 3           | 2      |
| Wine (liters)  | 9           | 4      |

basen of the above information answer number 92

92. If free trade would be introduced, world trade would be composed as follows:

- A. Switzerland will not trade as it is more efficient in both products; this makes all trade impossible.
- B. Switzerland will export cotton; Turkey will export wine.
- C. Switzerland will export wine; Turkey will export cotton
- D. Turkey will not gain benefit from the trade if the trade conducted between countries.

ANSWER: C

93. An example of a transfer payment is

- A. profit.
- B. rent.
- C. unemployment benefits.
- D. government purchases.
- E. wages.

ANSWER: C

94. Which of the following will not shift a country's production possibilities frontier outward?

- A. an advance in technology
- B. an increase in the labour force
- C. an increase in the capital stock
- D. a reduction in unemployment

ANSWER: D

95. In economics, what does laissez-faire mean?

- A. People should be left alone to do whatever they want.
- B. Life should be made as fair as possible.
- C. The state should exercise detailed control over the economy.
- D. The state should not interfere in the detailed operations of the economy.

ANSWER: D

96. If OLS is applied separately to each equation that is part of a simultaneous system, the resulting estimates will be
- A. Unbiased and consistent
  - B. Biased but consistent
  - C. Biased and inconsistent
  - D. It is impossible to apply OLS to equations that are part of a simultaneous system

ANSWER: C

97. According to the J-curve effect, when the exchange value of a country's currency depreciates, the country's trade balance:
- A. First moves toward deficit, then later toward surplus
  - B. First moves toward surplus, then later toward deficit
  - C. Moves into deficit and stays there
  - D. Moves into surplus and stays there

ANSWER: A

98. The J-Curve effect in Marshall-Lerner condition explains
- A. Effectiveness of devaluation in improving BoP deficit in the short run
  - B. Caused by time lag in producers' and consumers' responses
  - C. Initial improvement of export and deterioration later
  - D. J-Curve effect does not happen for countries where devaluation is effective

ANSWER: B

99. In least squares regression, which of the following is not a required assumption about the error term  $\epsilon$ ?
- A. The expected value of the error term is one.
  - B. The variance of the error term is the same for all values of  $x$ .
  - C. The values of the error term are independent.
  - D. The error term is normally distributed

ANSWER: A

100. In a project cycle, the stage where feasibility of a proposed project is analyzed is \_\_\_\_\_
- A. Investment phase
  - B. Pre-Investment phase
  - C. Operation phase
  - D. None

ANSWER: B